

SFS-002 — Murabaha and Cost-Plus Asset Financing

Internal Sharia Compliance Manual · Mal Islamic Bank — Sharia Supervisory Board

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§1 Scope

§1.1 This document governs *Murabaha*, a sale in which the Bank discloses the cost of an asset and adds a stated profit margin, and its principal application, *Murabaha to the purchase orderer*, in which a customer requests that the Bank acquire an asset and resell it to them on deferred terms.

§1.2 It applies to asset financing, trade financing, and any commodity-based structure the Bank uses to provide liquidity.

§2 Definitions

§2.1 *Cost* means the price the Bank actually paid for the asset, together with any direct expense properly attributable to acquiring it, such as freight, insurance in transit, and import duty.

§2.2 *Profit margin* means the disclosed amount the Bank adds to cost to arrive at the sale price. It may be expressed as a sum or as a percentage of cost, but must resolve to a determinate sum at contracting.

§2.3 *Constructive possession* means the Bank has acquired the risks and rewards of ownership, including the risk of loss or defect, notwithstanding that it may not have taken physical delivery.

§3 Essential conditions

§3.1 The subject of the sale must be a specific, existing, identified, and lawful asset. Money, debt, and prohibited goods may not be the subject of a Murabaha.

§3.2 The Bank must acquire genuine ownership of the asset before selling it to the customer. Selling an asset one does not own is not permissible.

§3.3 The Bank must bear the risks of ownership for the period it holds the asset, however brief. A transaction structured so that the Bank holds legal title without any exposure to loss, damage, or defect is a financing arrangement wearing the form of a sale, and is not permissible.

§3.4 Both the cost and the profit margin must be disclosed to the customer. A Murabaha in which cost is concealed is not a Murabaha.

§3.5 The sale price, once agreed, is fixed for the life of the contract. It may not be increased on account of late payment or the passage of time.

§3.6 The asset must exist and be owned by the Bank at the moment of the onward sale. A promise to acquire is not ownership.

§4 Sequence of transactions

§4.1 The customer's promise to purchase, the Bank's acquisition of the asset, and the sale to the customer must occur as distinct steps, in that order, and must be separately evidenced.

§4.2 Executing the acquisition and the onward sale as a single simultaneous entry, or backdating documentation to give that appearance, invalidates the transaction.

§4.3 An agency arrangement, in which the customer acts as the Bank's agent to purchase the asset, is permissible but requires care. The agency and the subsequent sale must be documented as separate contracts, and the Bank must hold real ownership between them.

§4.4 Where the customer acts as agent, the Bank should obtain evidence of the acquisition — an invoice, a delivery note, or a title document — before executing the onward sale.

§5 The binding promise

§5.1 The customer's promise to purchase may be made binding, so that the Bank is not left holding an asset it acquired solely at the customer's request.

§5.2 Where the customer breaches a binding promise, the Bank may recover its *actual* loss, being the difference between the acquisition cost and the price realised on disposal, together with direct costs. It may not recover the profit margin it expected to earn, since no sale occurred.

§6 Late payment and default

§6.1 The Bank may not charge additional profit for late payment, as this reproduces *riba* on a debt. See [SFS-001 §5.3].

§6.2 A late-payment charge is permissible only where it is donated to charity and does not accrue to the Bank's income. The charity destination should be disclosed.

§6.3 The Bank may accelerate the outstanding debt on default, provided the amount claimed does not exceed the agreed sale price less payments received.

§6.4 The Bank may grant a rebate for early settlement at its discretion. A rebate must not be a contractual entitlement calculated by formula, as that would render the price variable with time.

§7 Assessment criteria

§7.1 A Murabaha-labelled product is **non-compliant** where the Bank never takes ownership, or takes ownership in form only with no exposure to ownership risk.

§7.2 A product is **non-compliant** where the profit margin is recalculated over time, or is structured so that it accrues with elapsed time rather than being fixed at contract.

§7.3 A product is **non-compliant** where acquisition and onward sale are executed simultaneously such that no interval of genuine ownership exists.

§7.4 Using a conventional interest rate as an external *benchmark* to set a margin that is then fixed at inception is a matter of ongoing scholarly debate. Such a product **requires review**; it is not to be approved or rejected automatically. The reviewer should consider whether the benchmark merely calibrates a fixed price or whether it causes the price to vary.

§7.5 A commodity Murabaha used purely to generate cash, with no genuine intent to trade the underlying commodity, **requires review**. Such structures are widely criticised as circumventing the prohibition in [SFS-001], and approval should turn on evidence of genuine trading intent and real commodity delivery.

Sources and attribution

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- AAOIFI Shari'ah Standards — principles concerning Murabaha to the purchase orderer
- Bank Negara Malaysia, Shariah Standard on Murabahah
- IFSB-15: Revised Capital Adequacy Standard, treatment of Murabaha receivables